

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 25-03

**Euromarket Designs, Inc., *Complainant* v.
MSC Mediterranean Shipping Company SA, et al., *Respondents***

**RESPONDENT CMA CGM S.A.'S
MOTION TO DISMISS**

Respondent CMA CGM S.A. (“Respondent” or CMA”), by counsel, pursuant to 46 C.F.R. 502.69 and 502.70, moves to dismiss with prejudice the Complaint filed by Euromarket Designs, Inc. (“EDI” or “Complainant”). The Federal Maritime Commission has consistently maintained that only “direct purchasers” may seek reparations under the Shipping Act, 46 U.S.C. §§ 41301 *et seq.* By its own admission, Complainant is not a direct purchaser and, as a result, lacks standing to seek reparations from CMA. Further, the Complaint fails to allege any particulars underlying the supposedly improper charges as required for a claim contesting demurrage and detention. *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 at *7 (FMC Dec. 29, 2022). As a result, Complainant fails to state viable claims and the Complaint must be dismissed.

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STATEMENT OF MATERIAL FACTS

Complainant filed the Complaint on December 31, 2024 alleging violations of the Shipping Act and seeking reparations from a range of Respondents across the shipping industry. Compl. ¶ 1 & 2. Specifically, Complainant brings claims against two types of respondents: Service Contract Respondents and Non-Service Contract Respondents. CMA is named as a Non-Service Contract Respondent. Compl. ¶ 1. The Complaint makes generalized allegations regarding policies implemented during the pandemic, the formation of business alliances, and demurrage and detention charges assessed by Respondents. Compl. ¶¶ 7 & 13. Of these sweeping allegations, only six paragraphs out of over 200 are directed at CMA. Compl. ¶¶ 151-56.

Critically, Complainant admits that it contracted with the Service Contract Respondents and not with the Non-Service Contract Respondents, such as CMA. The Complaint also fails to set forth any allegation that CMA ever directly charged Complainants for contested detention and demurrage. Upon information and belief, it appears from the Complaint that every shipment was booked under a service contract with one of the Service Contract Respondents, but there were no agreements between the Non-Service Contract Respondents and Complainant. In fact, the Complaint asserts only that “CMA’s wrongful imposition of charges directly injured Complainant.” Compl. ¶ 156. It does not allege that CMA ever directly charged Complainant, or anyone else. As explained further below, this Commission has repeatedly rejected this kind of claim as it violates the “direct purchaser” rule for reparations under the Shipping Act.

Perhaps to avoid the direct purchase rule, Complainant defines “Charges” to include a two-year span of demurrage and detention charges for the entire industry, not CMA. No other detail is provided regarding any specific transaction with CMA, save for an email excerpt without any context. As explained below, such vague allegations are insufficient as a matter of law.

STANDARD OF REVIEW

Under 46 C.F.R. 502.69(a), a party may file a dispositive motion anytime “[a]fter the assignment of a presiding officer to a proceeding and before the issuance of his or her recommended or initial decision. . .” A motion must “state clearly and concisely the purpose of and the relief sought by the motion, the statutory and principal authority relied upon, and the facts claimed to constitute the grounds supporting the relief requested.” 46 C.F.R. 502.69(e).

Under the Commission’s rules of procedure, a “dispositive motion means a motion for decision on the pleadings; motion for summary decision or partial summary decision; motion to dismiss all or part of a proceeding or party to a proceeding; motion for involuntary dismissal; motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding.” 46 C.F.R. 502.69(g). A dispositive motion must “include a concise statement of the legal basis of the motion with citation to legal authority and a statement of material facts with exhibits as appropriate.” 46 C.F.R. 502.70.

ARGUMENT

I. The Complaint fails to allege that Complainant is a direct purchaser from CMA.

a. The Shipping Act permits only “direct purchasers” of shipping services to seek reparations.

Under 46 U.S.C. § 41305(b), only those who have suffered an “*actual injury*” from a violation of the Shipping Act may seek reparations. Controlling precedent from both the Supreme Court and this Commission supports the proposition that “*the person that paid* illegal overcharges is the *only person ‘directly damaged,’ regardless of what may have occurred later.*” *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 at *44 (FMC Feb. 13, 2024) (emphasis added); *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918) (holding that if a carrier’s profit is unlawful, “the only one who can take it from him is the one that alone was in relation with him, and from whom the carrier took the sum”).

This principle has come to be known as the “direct purchaser rule.” The Commission explained the rule in *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*:

Under the direct purchaser rule, *only the party who actually paid the carrier can sue for reparations* for an overcharge, *not indirect purchasers further down the chain*... Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they *actually paid the carrier* or received an assignment from the direct purchaser.’

2022 WL 18068977 at *7 (FMC Dec. 29, 2022) (emphasis added).

The rule stems from the direct purchaser rule used in antitrust cases. *Id.*; see also *Southern Pacific Co.*, 245 at 533-34 (holding that the law does not inquire beyond the “first step” of the transaction because parties farther along the chain are not in “privity with the carrier” and therefore have no action against the carrier for alleged overcharges). The Supreme Court developed the rule “to avoid the complex task of accurately and fairly apportioning damages among various parties along the distribution chain,” rejecting precisely the approach Complainant advocates here. *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC Oct. 21, 2019) (citing *Illinois Brick v. Illinois*, 431 U.S. 720, 730-37 (1977)).

Accordingly, to properly state a claim for reparations against CMA, Complainant would have to allege either that 1) it directly paid CMA for transportation services or 2) it received a valid assignment from a direct purchaser of CMA services prior to filing the Complaint. Complainant does not allege either.

b. Complainant is not a direct purchaser from CMA under the Shipping Act.

Based on the Complaint, Complainant never alleges direct payment to CMA for transportation services regarding the shipments at issue in the Complaint. This much is evident from the categorization of respondents. CMA is designated, by the Complainant, as a Non-Service Contract Respondent, meaning there is no allegation of a contract between CMA and Complainant. Compl. ¶ 1. This is further demonstrated by the language of the Complaint.

The section of the Complaint titled “The Service Contracts” lists all relevant contracts for the services and shipments being challenged. Compl. ¶¶ 73-76. None of the contracts are alleged to be between Complainant and CMA. *Id.*

What is more, Complainant never alleges that it was a direct purchaser from CMA, nor that it received any sort of invoice from CMA. Instead, the Complaint alleges that CMA’s actions “resulted in excessive and unjust Charges being imposed on Complainant” and CMA’s imposition of the charges “directly injured Complainant.” Compl. ¶¶ 151 & 156. There is no allegation that CMA actually charged Complainant or that Complainant paid CMA directly for any of the allegedly illegal charges. This alone should end this case against CMA.

Also, Complainant does not allege that any of the scattershot correspondence it quotes was between CMA and Complainant. To the contrary, the quoted portions refer to CMA as an outside party to the transaction: “we ... are accruing more storage because CMA is taking their time” and “See below from CMA... This is what needs to be fought with CMA.” Compl. ¶¶ 153-54.

The Complaint also makes no allegation that any of the Service Contract Respondents contracted with CMA for shipping services. And even if Complainant had done so, this is not sufficient to demonstrate a direct purchaser relationship. Indeed, this Commission rejected the same argument in *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (FMC Dec. 29, 2022), quoting its previous rejection of the argument in *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 445 (FMC Oct. 21, 2019). As the Commission explained:

In the 80 years since the Shipping Board held that a respondent could not rely on a pass-on theory to avoid liability to a Claimant for reparations, ***the Commission has repeatedly found that a Claimant cannot rely on a pass-on theory to recover reparations for overcharges.*** In numerous decisions, the Commission has ruled that ***only the party who actually paid the carrier*** (or the valid assignee of the payor) can sue for reparations.

TCW, 2022 WL 18068977 at *16 (emphasis added) (quoting *In re Vehicle Carrier Services*, 1 F.M.C.2d at 446).

The Commission reiterated its rule in *In re Vehicle Carrier Services* that “parties suing for alleged overcharges can only recover reparations if they *actually paid the carrier or received an assignment from the direct purchaser*.” *Id.* at 445 (emphasis added). The Commission further held that, “[I]n applying the direct purchaser rule, the Commission follows strict proof requirements. Complainants can recover only if they introduce evidence that *they actually paid the carrier* or received an assignment from someone who did.” *Id.* at 445 (emphasis added).

Here, Complainant fails to allege that it actually paid CMA for services or that it received an assignment from a party who did. Of the 217 paragraph Complaint, only six pertain to CMA as a respondent. Compl. ¶¶ 151-56. Not one contains an allegation that Complainant directly paid CMA, and the entire Complaint lacks specificity regarding which party assessed what charges and to whom. Because Complainant fails to allege that it was a direct purchaser from CMA, the Complaint against CMA must be dismissed.

II. The Complaint fails to provide factual allegations for the “circumstantial, fact-bound” analysis of each transaction required by this Commission.

The ambiguous allegations in the Complaint fail to identify specific transactions with any party, much less the circumstances underlying each charge. Such broad allegations do not meet the standard required for an analysis of demurrage and detention charges in the shipping industry and the Complaint should be dismissed.

It is well settled that a Shipping Act inquiry into charges for demurrage and detention must involve a “circumstantial, fact-bound inquiry” into the particulars of each transaction, including conditions at the terminal, conduct of the parties involved, and actual impact of any delays on the

individual shipments in question. *See Evergreen Shipping Agency (Am.) Corp. v. FMC*, 10 F.4th 1113, 1118 (D.C. Cir. 2023).

Generally, when a court reviews a motion to dismiss, it must accept all well-pleaded allegations as true. *Randall v. United States*, 30 F.3d 518, 522 (4th Cir.1994). However, “[t]hreadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice” to meet this standard. *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555-56 (2007). Moreover, a court “is not bound to accept as true a legal conclusion couched as a factual allegation.” *Id.* at 570. Thus, to survive a motion to dismiss, “a complaint must contain sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face.” *Ashcroft v. Iqbal*, 556 U.S. 662, 129 S. Ct. 1937, 173 L. Ed. 2d 868 (2009).

Complainant does not include the particulars of any of the detention and demurrage charges it deems improper, making an informed response by CMA impossible. The Complaint defines the word ‘Charges’ to include “at least a substantial majority of the demurrage and detention charges” by all shippers for the duration of the 2020 through 2022 shipping years. Compl. ¶ 7. In other words, the allegedly improper charges include an unspecified number of unspecified charges for demurrage or detention made over two or three full years, many of which may be time-barred. This is hardly the transactional detail that the *Evergreen* holding requires.

Further, Complainant does not identify a single charge or transaction with CMA in the entire Complaint. The limited allegations made against CMA assert only a “wrongful imposition of the Charges” and approximate improper demurrage and detention amounts. Compl. ¶ 156. Complainants fail to provide any factual allegations required for a “fact-bound inquiry,” even at the pleading stage, such as the amount of each charge, the source of each charge, or even the

number of transactions or charges Complainant alleges are improper. *See Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2023).

Because the Complaint fails to set forth any factual allegations regarding any charges paid by Complainant directly to CMA, as required to properly state a claim for the particular Shipping Act violations Complainant asserts, the Complaint against CMA must be dismissed under prevailing law.

CONCLUSION

For all these reasons, CMA respectfully requests that the Commission dismiss the Complaint against CMA with prejudice. In the alternative, CMA respectfully requests that this Commission order the Complainant to more precisely state its claims as against CMA.

Dated: January 31, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 31st day of January 2025, the foregoing document was served by email on all counsel of record as follows:

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